BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) NO. 03/ALD/2023

(First Motion)

(Under Section 230 read with Section 232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

IN THE MATTER OF:

TISTA VINTRADE PRIVATE LIMITED

Having its Registered Office:
Flat No. 502, 7/154, Ratan Apartment,
Swaroop Nagar Kanpur UP 208002

TRANSFEROR COMPANY/APPLICANT COMPANY

AND

CARE SOAPS PRIVATE LIMITED

Having its Registered Office:
21 GA GOVT INDUSTRIAL ESTATE.
KALPI ROAD Kanpur UP 208012

TRANSFEREE COMPANY/APPLICANT COMPANY

Order delivered on: 22nd August, 2023

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

-Sd- -Sd-

Physically Present:-

For the Applicant Company: Sh. Ankit Misra, PCS

ORDER

1. This is a First Motion Application filed by the Applicant Companies namely- Tista Vintrade Private Limited (the Transferor Company/Applicant Company) and Care Soaps Private Limited (the Transferee Company/Applicant Company) under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of Tista Vintrade Private Limited with Care Soaps Private Limited. The said Scheme is attached as **Annexure A-1** of the Application.

2. The Applicant Company has prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders and Unsecured Creditors of the Applicant Companies. The Applicant Companies do not have any Secured Creditor.

3. The Transferor Company is engaged in the business of all kinds of wood, timber, and timber products, gems and jewellery, etc.

4. The Transferee Company is engaged in the business of manufacturing, producing, commercializing and multi-level marketing of detergent cakes, detergent bars, detergent powders, liquid detergents and all kinds of wood, timber, and timber products, gems and jewellery.

5. It is submitted that both the Applicant companies have their registered offices in the State of Uttar Pradesh and hence are under the jurisdiction of this Bench.

6. The rationale of the Scheme is given below :-

a. The Transferee Company is a Private Company Limited by Shares. It is engaged in the business of

1. To carry on in India or elsewhere the business to derive, discover, establish, manipulate, prepare, promote, supply, import, export barter, buy, sell, turn to account and to act as agent, broker, distributor, stockiest, concessionaries, consignors, consultant, job worker, collaborator, or otherwise to deal in all shapes, sizes, varieties, colors,

characteristics, applications, specifications and uses of detergent cakes, detergent bars, detergent powders, liquid detergents, toilet soaps, paper soaps, medicated soaps, toilet requisites, their raw materials, by-products, ingredients, additives, substances, compounds, intermediates and other allied materials, such as all kinds of oils and oleaginous and saponaceous substances, alfa olefin sulphonates, linear alkyl benzene sulphates, dodecyl benzene sulphonates and other downstream and allied products and to do all such incidental acts and things necessary for the attainment of above objects.

2. To carry on the business as buyers, sellers, raders, merchants, inventors, brokers, agents, commission agents, assemblers, refiners, cultivators, miners, mediators, packers, stockiest, distributors, advisors, hire purchasers, multi-level marketing of & in all kinds of wood, timber and timber products, gems and jewelry, imitation jewelry, plastics and plastics goods & raw materials thereof, rubberized cloth, food grains, dairy products, soap detergents, biscuits, surgical, diagnostic medical pulses, leather & finished leather goods, leather garments, leather products, all related items in leather, electric and electronics components and goods, iron & steel, aluminum;

minerals, ferrous and non-ferrous metal, stainless steel, jute and jute products, textile, cotton, synthetic, fiber, silk, yarn, wool and woolen goods, handicrafts and silk artificial synthetics, readymade garments, design materials, process, printers in all textiles, timber cosmetics, stationery, tools and hardware and sugar, tea, coffee, paper, packaging material, chemicals, cement, spices, grain, factory materials, house equipment, rubber and robber. products, coal, coal products and coal tar, fertilizers, agriculture products, Industrial products, computer data materials, software, paints, industrial and other gases, alcohol, edible and non-edible oils and fats, drugs, plants and machinery goods, engineering goods and equipment, office equipment, hospital equipment, railway accessories, medicine, sugar & sugarcane, automobile parts, building construction & materials fur & fur made items toys, building plans, consumer products, consumer durables, coal and coke, mica and mica products, dry flowers and plants, printing, transportation and all other kinds of goods and merchandise, commodities and articles of consumption of all kinds in India or elsewhere.

b. The Transferor Company is a Private Company Limited by Shares. It is engaged in the business of

1. To carry on the business as buyers, sellers, traders, merchants, inventors, brokers, agents, commission agents, assemblers, refiners, cultivators, miners, mediators, packers, stockiest, distributors, advisors, hire purchasers, multi-level marketing of & in all kinds of wood, timber and timber products, gems and jewelry, imitation jewelry, plastics and plastics goods & raw materials thereof, rubberized cloth, food grains, dairy products, soap detergents, biscuits, surgical, diagnostic medical pulses, leather & finished leather goods, leather garments, leather products, all related items in leather, electric and electronics components and goods, iron & steel, aluminum, minerals, ferrous and non-ferrous metal, stainless steel; jyte and jute products, textile, cotton, synthetic, fiber, silk, yarn, wool and woolen goods, handicrafts and silk artificial synthetics, readymade garments, design materials, process, printers in all textiles, timber cosmetics, stationery, tools and hardware and sugar, tea, coffee, paper, packaging material, chemicals, cement, spices, grain, factory materials, house equipment, rubber and rubber products, coal, coal products and *coal tar, fertilizers, agriculture products, Industrial products, computer data materials.; software, paints, industrial and other*

gases, alcohol, edible and non-edible oils and fats, drugs, plants and machinery goods, engineering goods and equipment, office equipment, hospital equipment, railway accessories, medicine, sugar & sugarcane, automobile parts, building construction & materials fur & fur made items toys, building plans, consumer products, consumer durables, coal and coke, mica and mica products, dry flowers -and plants, printing, transportation and all other kinds of goods and merchandise, commodities and articles of consumption of all kinds in India or elsewhere.

c. Both the Companies belong to same group of shareholders and management.

d. The proposed Scheme of Amalgamation is aimed at:

- Expansion and Diversification
- Optimum Economic Benefit
- De-risking Strategy
- Scaling up of operation for competitive advantages
- Increase the Market capitalization
- Cost reduction by reducing overheads
- Increasing the efficiencies of operations
- Tax benefits

7. It is stated that the Board of Directors of the Applicant Companies in their meetings held on 26.12.2022 have

considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Hon'ble Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are annexed with the Application as **Annexure No.A3 and Annexure No.A9 respectively** with the application.

8. The appointed date of the Scheme is 01.04.2022 as mentioned in the Para 1.2 in Part A under definition of the Scheme of Amalgamation at Page No.45 in Vol.1 which is annexed as Annexure No.1 with the application.

9. It is stated that the Applicant Company have filed their Audited Financial Statements as on 31.03.2022 and the same are annexed together as **Annexure No.A-7 and Annexure No.A-13 respectively** with the Application.

10. It is submitted that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Transferee Company have filed Certificate dated 13.02.2023 issued by its Statutory Auditors, certifying that the Scheme is in compliance with the Accounting Standards prescribed under

Section 133 of the Act and the same are annexed as **Annexure: A-15** with Application.

11. It is has been further stated that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Ramandeep Singh Arora, Registered Valuer in respect of Securities or Financial Assets with the Insolvency and Bankruptcy Board of India (IBBI) vide registration No. IBBI/RV/06/2018/10487 and the same is annexed as **Annexure No.A-14** with the Application.

12. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Paragraph 9 of the Part B of the Scheme **(Annexure – 1**) of this application.

13. It is submitted by the Ld. Counsel for the Applicant that there are no sectoral regulator in the Applicant Company whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities i.e. (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur;

(c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department.

14. It is further submitted by the Ld. Counsel during the course of hearing that the Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation to / approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation.

15. It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against the Applicant Company. Further, it is also submitted that neither any winding up application has been filed against the Applicant Company nor there are any liquidation proceedings against the Applicant Company. The Applicant Company is not facing any CIRP process nor has been struck off from Registrar of Companies.

16. The applicant company have furnished the following documents: -

a) Audited Financial Statement as on 31.03.2022 of the Applicant Companies (Annexure No.A-7 and A-13 with the Application.).

b) List of Equity Shareholders of the applicant companies duly certified by the Chartered Accountant along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure No.A-4, Annexure No A-10, Annexure No A-17 and Annexure A-18 with the Application.

c) List of Unsecured Creditors of the applicant company no.1 duly certified by the Chartered Accountant (Annexure No.a-19 with the Application.).

d) Certified true copy of extract of the minutes of the board resolution of the Applicant Companies approving the Scheme. (Annexure No.A1 and Annexure No.A2 respectively, with the Supplementary Affidavit.).

f) Valuation Report specifying the proposed Share Exchange Ratio and indicating the fair value of equity share (Annexure No.14/Vol.2 with the Application.).

g) Proposed Scheme of Amalgamation (Annexure No.A-14 with the Application.).

h) Certificates of Statutory Auditors of the Applicant Company 2 to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure No.A-15 with the Application.)

17. That the Applicant Company have furnished the details of the Equity Shareholders, Secured Creditors and Unsecured Creditors along with their consent affidavits, as the case may be, as per the following detail:

Company	No. of Equity Shareholders	Consent Given	No. of Secured Creditors	Consent Given	No. of Un-secured Creditors	Consent Given
Transferor Company No.1/Applicant Company No.1	02	**All (100%)**	NIL	NA	1	**All (100%)**
Transferor Company No.1/Applicant Company No.2	02	**All (100%)**	NIL	NA	5	**All (100%)**

18. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Transferor Company /Applicant Company no.1:-

a) The meeting of the Equity Shareholders of the Transferor Company/Applicant Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Transferor Company/Applicant Company, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of the Transferor Company/Applicant Company is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

ii. **In relation to the Transferee Company /Applicant Company no.2:-**

a. The meeting of the Equity Shareholders of the Transferor Company/Applicant Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits

b. Since, there are no Secured Creditors in the Transferor Company/Applicant Company, the requirement of convening the meeting Secured Creditors does not arise.

c. The meeting of the Unsecured Creditors of the Transferor Company/Applicant Company is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

19. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition as per law, with a direction that the Applicant Companies shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department by disclosing the PAN number of the Applicant Company in the Second Motion Petition.

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20. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

21. That appropriate prayer would also be made in the second motion petition for publication in newspaper

22. With the aforesaid directions, the First Motion Application bearing CA (CAA)No.03/ALD/2023 is disposed of accordingly.

23. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

-Sd-

(ASHISH VERMA)
Member (Technical)

-Sd-

(PRAVEEN GUPTA)
Member (Judicial)

Aditi Kharbanda
(LRA)